

Stereo. HCJDA 38.
Judgment Sheet
IN THE LAHORE HIGH COURT,
MULTAN BENCH, MULTAN
(JUDICIAL DEPARTMENT)

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W.P. No.11481 of 2025

M/s Askari Guards (Pvt) Ltd.

Versus

The Authority under Payment of Wages Act, etc.

JUDGMENT

Date of hearing: **16.12.2025.**

Petitioner(s) by: Ch. Saleem Akhtar Warraich,
Manzoor Hussain Bhutta and
Muhammad Shakel Anjum,
Advocates.

Respondents by: Malik Masroor Haider Usman,
Additional Advocate General.
Mr. Muhammad Abdul Qayyum
Baat, Advocate for respondents.
Muhammad Idrees S.I.

ASIM HAFEEZ, J. This judgment decides instant and constitutional petitions, bearing W.P Nos.5395/2023, 3405/2021 and 10914/2025 [hereinafter referred as ‘petition(s)’], which are heard collectively in wake of commonality of jurisdictional-cum-legal objection to the assumption and exercise of jurisdiction by the Authority under the *Payment of Wages Act, 1936* (“**the Act of 1936**”).

2. Petitioner(s) claimed status of trans-provincial entity(ies) – *inter alia* having operational and commercial foothold in other provinces and Islamabad Capital city, in addition to the

place(s) of business(es) / office(s) in the province of Punjab. And subject matter proceedings commenced upon submission of complaint(s) by respondents [*‘persons employed’*], who are solely aggrieved of non-payment of wages by the petitioner(s). Petitioner(s) objected to the exercise of jurisdiction by the Authority on the premise that such jurisdiction is neither available nor exercisable, in particular, against trans-provincial entity(ies).

3. Learned counsel for the petitioner(s) emphasized ouster of jurisdiction of the Authority and insisted that remedy was available by raising grievance(s) petitions under section 33 of Industrial Relations Act, 2012 (**“the Act of 2012”**) by approaching *National Industrial Relations Commission* (the ‘Commission’). Learned counsel reiterate that issue of absence of jurisdiction of the Authority came up for adjudication variously and decided against the Authority, when trans-provincial entity(ies) were involved. Decisions referred are *‘Messrs Sui Southern Gas Company Ltd v. Federation of Pakistan and others’* (2018 SCMR 802), *‘Pakistan Telecommunication Company Ltd. v. Member NIRC and others’* (2014 SCMR 535), *“Syed Zia ul Hussnain Shamsi etc. v. Government of Punjab through its Chief Secretary Lahore etc.”* [decision of 15.02.2019 in **W.P No. 17858 of 2011**], *“PRESIDENT THE BANK OF PUNJAB and two others v. AUTHORITY UNDER THE PAYMENT OF WAGES ACT, VEHARI and another”* [2023 PLC 163], *“The Bank of Punjab etc. v. Authority under Payment of Wages Act / Labour Department etc.”* [decision of 27.01.2022 in **W.P No. 35621 of 2016**], *“Habib Bank Ltd. v. Muhammad Aslam etc.”* [decision dated 15.02.2019 in **W.P No. 818/2015**] and *“Messrs K-ELECTRIC, LIMITED through Authorized Personnel v. MUHAMMAD ASLAM SHAH and others”* [2021 PLC 108].

4. Conversely, learned counsel for the respondents – *person(s) employed* – defended jurisdiction of the Authority in

the context of peculiarity of the claim, confined to the payment of wages.

5. Heard. Statutes referred and case-law cited examined.

6. Reiteration of facts, for each petition, is unessential when scope of adjudication is determination of a legal-cum-jurisdictional issue. It is essential to narrate, to the extent, that the Authority, established in terms of section 15 of the Act of 1936, had adjudicated upon claim(s) seeking payment of wages and allowed those claims. And in some cases, determinations made were confirmed by the Labour Court(s) – Appellate forum against the decisions of the Authority in terms of section 17 of the Act of 1936.

For clarity's sake jurisdictional question is narrated hereunder,

Whether claim(s) for recovery of outstanding wages could be brought by the persons employed against trans-provincial entity(ies) under Act of 1936 or instead exclusive jurisdiction vests with NIRC under the Act of 2012?

7. Before addressing the question of ouster of jurisdiction of the Authority, it is apt to examine the relevance-cum-applicability of judicial pronouncements referred and heavily relied upon during the course of submissions. Evidently, in each referred case, primarily the *rationes decidendi* in the cases of 'Messrs Sui Southern Gas Company Ltd' (supra) and 'Pakistan Telecommunication Company Ltd.' (supra) were followed, consistently. For sake of explanation, decision in the case of Messrs Sui Southern Gas Company Ltd' (supra) relates to the dismissal of challenge thrown to the constitutionality of the Act of 2012, in the context of plea of occupied legislative

field by the Punjab Industrial Relations Act 2010 (“**the Act of 2010**”). And in the case of ‘Pakistan Telecommunication Company Ltd.’ (supra) scope of personal jurisdiction was highlighted, while extending jurisdiction to the Commission under the Act of 2012, with respect to trans-provincial entity - proceedings related to termination of PTCL employee(s) and in that scenario Apex Court ruled in favour of jurisdiction of the Commission under the Act of 2012. Operative part of the decision is reproduced hereunder to explain the context.

“It is not the nature of dispute, particularly unfair labour practice, which confers jurisdiction on one or the other forum but it is the status of the employer or the group of employers, which would determine the jurisdiction of the Provincial labour Court and that of the NIRC”.

8. In the case of ‘PRESIDENT THE BANK OF PUNJAB and two others’ expression ‘*nature of the dispute*’ was misconstrued, without appreciating that dispute in referred case was decided on the basis of personal jurisdiction, exercisable by the Commission in wake of trans-provincial status of employer – [PTCL] – and jurisdiction of labour court, established under the Act of 2010 was ousted – [context was competing personal jurisdiction with respect to the Act of 2012 and the Act of 2010, wherein the Act of 1936 was not subject of any discussion, let alone adjudication. There appears no plausible reason to discuss other pronouncements, when precedent cases – [‘Messrs Sui Southern Gas Company Ltd’ (supra) and ‘Pakistan Telecommunication Company Ltd.’ (supra)] - are found distinguishable.

In case of “Habib Bank Ltd. v. Muhammad Aslam etc.” reference was found to “Messrs K-ELECTRIC, LIMITED through Authorized Personnel”. Operative part at paragraph 8

of Messrs K-ELECTRIC, LIMITED is reproduced for understanding the context thereof.

“From perusal of the above provisions of law, it is clear that the provisions of IRA, 2012 are applicable where the establishment has trans-provincial character / position. There is no ambiguity in the provisions of Section 57(2)(b) of IRA, 2012, which states that where the dispute has arisen out of unfair labour practice, the jurisdiction of NIRC is absolute, but where there is no allegation of unfair labour practice, the jurisdiction of the Labour Court can be invoked where the cause of action has arisen. However, in the present proceedings, the learned Full Bench of NIRC has remanded the main petitions of the private respondents to the learned Single Member of NIRC for decision after recording evidence of the parties, therefore, no prejudice can be caused to either party, if the decision is made on merit”.

[Emphasis supplied]

Apparently, in aforesaid case, jurisdictional sphere of NIRC and provincial labour court(s) was discussed in the context of dispute qua unfair labour practice(s), which determination has no relevance for resolution of present controversy. Even otherwise decision made has no binding effect, when there is no declaration / enunciation of law.

9. It needs to be highlighted that cases of “Messrs Sui Southern Gas Company Ltd” (supra) and ‘Pakistan Telecommunication Company Ltd.’ (supra) were decided under the principle of personal jurisdiction; distinguishable from the principles governing subject matter jurisdiction. Out of various shades of jurisdiction, which are ‘*subject matter jurisdiction* – [cause of action jurisdiction], *personal jurisdiction* – [jurisdiction over the parties to the *lis*] -, *territorial jurisdiction* and *pecuniary jurisdiction*, difference between *personal v. subject matter jurisdiction* is fundamental for determining issue of jurisdiction of the Authority vis-à-vis trans-provincial entity(ies). What is a subject matter jurisdiction? An authority possessed by the decision-making

body to decide a particular subject / cause. At page 70 of the judgment in case of *“THE STATE v. ZIA-UR-REHMAN AND OTHERS”* (PLD 1973 SC 49) aptly elaborates concept of jurisdiction in following terms,

‘Jurisdiction expresses the concept of particular les or subject matter over which the judicial power is to be exercised and the manner of its exercise: Jurisdiction is, therefore, the right to adjudicate concerning a particular subject-matter in a given case, as also the authority to exercise in a particular manner the judicial power vested in the court’.

10. Personal jurisdiction is the authority of the court / forum to adjudicate rights, liabilities and obligations of or between particular persons. Subject matter jurisdiction concerns with ‘WHAT’ and personal jurisdiction focuses on ‘WHO’. Now, these two shades of jurisdiction, *personal v. subject matter jurisdiction*, need appreciation in the context of controversy. It is pertinent to mention that question of jurisdiction *inter se* the Commission and provincial labour court(s) was decided on the principles governing scope of personal jurisdiction – [Commission would assume and exercise jurisdiction with respect to trans-provincial entity(ies) and establishment(s) having provincial nationality are subject to exercise of jurisdiction by the provincial labour court(s)] – and conversely subject matter jurisdiction, with reference to the Act of 2012 and Act of 2010, manifest commonness of subject / cause of action but scope of personal jurisdiction is different. And contrary thereto, while defining jurisdictional scope *inter se* the Act of 2012 and the Act of 1936, it is the subject matter jurisdiction, which assumes critical position. Though repetitive but relevant to reiterate that decisions in cases of

“Messrs Sui Southern Gas Company Ltd” (supra) and ‘Pakistan Telecommunication Company Ltd.’ (supra) explain interplay of personal jurisdiction in the context of applicability of a federal law or a provincial law.

11. Now I deal with the elephant in the room – how subject matter jurisdiction under the Act of 1936 is diverse from the subject matter jurisdiction conferred under the Act of 2012. To substantiate diversity, it is appropriate to undertake comparative analysis of these competing statutes.

12. Opening statements –[preamble(s)] - with respect to the Act of 2012 and the Act of 1936 manifest distinctive subject matter jurisdiction, besides differing in nationality, one possesses federal character and other provincial. Objective declaration of the Act of 1936 aptly explains the context and statute’s subject matter - *raison d’état* of the Act of 1936 is to regulate the payment of wages to certain classes of persons employed in industry. Evidently, subject matter / cause of jurisdiction is exercisable by the Authority in terms of section 15 of the Act of 1936.

And opening statement of the Act of 2012 defines subject matter jurisdiction as, ‘An Act to consolidate and rationalize the law relating to formation of trade unions, and improvements of relations between employers and workmen in Islamabad Capital Territory and in trans-provincial establishments and industry’. Distinction is conspicuous and meaningful.

13. The Act of 2012 governs collective labour relations and industrial disputes and the Act of 1936 ensures regularity in the payment of wages [wage-protection statute]. Undisputedly,

individual grievances are covered within the scope of the Act of 2012 – [clause (h) of section 54 of the Act of 2012 empowers NIRC/Commission to deal with cases of individual grievance] – and grievance petition(s) could be brought under section 33 of the Act of 2012 but certain limitations otherwise prescribed under the Act of 2012, being condition(s)-precedent, with reference to the status of grievance-raiser, cannot be overlooked, which is that a grievance-petitioner must be a ‘worker’ of ‘workman’. This suggests that only a worker or workman, employed with a trans-provincial establishment is eligible to bring a grievance petition. Conversely, under the Act of 1936, a *person employed* with the entities, defined thereunder, is eligible to invoke the jurisdiction of the Authority. Status of a ‘worker’ and *person(s) employed* and each of these expressions have relevance to the context and circumstances – each has a meaning and relevance under respective statutes – the Act of 2012 and the Act of 1936. Neither definition of a ‘worker’ could be scaled down nor scope of the expression, *person(s) employed* be confused with a worker, separately defined under the Act of 2012. This confusion would only arise if argument of the petitioners is considered worthy of due appreciation and not otherwise. These expressions have specific, well-defined meanings are legal interpretation but in the context of respective statutes. There appears some confusion regarding distinctiveness, diversity and mutually-exclusivity in expressions *person(s) employed* and ‘worker’. Distinction qua expressions was aptly explained in the case of “Aurangzaib v. Medipak (Pvt) Ltd and others” (supra), wherein, for the purposes of invoking jurisdiction of the Authority under the Act of 1936, two essential conditions are prescribed; firstly, that complainant

was a *person(s) employed* – [to be a worker or non-worker is not relevant for the purposes of Act of 1936 but same had critical relevance for evaluating *lis* under the Act of 2012, in latter case it forms a condition antecedent before invoking section 33 of the Act of 2012] - and secondly, *person* should be employed, by the employer or contractor, in a factory, industrial establishment or commercial establishment [as defined in the Act of 1936]. I came across this judgment reported as Messrs GLOBAL PHARMACEUTIAL through Assistant Manager Accounts and others v. ASSISTANT COMMISSIONER RURAL, ICT, ISLAMABAD / AUTHORITY UNDER THE PAYMENT OF WAGES ACT, ISLAMABAD and others’ (2025 PLC 204), wherein expression *person(s) employed* in the context of the Act of 1936 was interpreted and while doing so certain observations were made having the effect of narrowing down the eligibility of the *persons employed* by directing co-extensive reading thereof with the definition of workman under the Act of 2012 – assuming that scope of work to be performed has had to be read in the context of section 2 (g) of the Act of 1936. And there is no explanation that what would be the position if person is employed in commercial establishment or industrial establishment, where no reference is found with regard to nature of duties / work performed, while defining the expressions respectively. This interpretation and effective narrowing of eligibility of *persons employed* renders decision *per incuriam*, being contrary to the mandate of *ratio* laid in the case of “Aurangzaib v. Medipak (Pvt) Ltd and others” (supra). In view of the aforesaid analysis, diversity / distinctiveness between the Act of 2012 and the Act of 1936 is evident and reinforced.

14. There is another element of diversity, which support subject matter distinction between the Act of 2012 and the Act of 1936. Argument of the petitioner(s) that claim for payment of wages must be exclusively adjudicated by the Commission, simplicitor, for the reason that petitioners are trans-provincial entity(ies), is inherently defective, which fails to consider the scope/character of the proceedings, with reference to individual grievance(s), under the Act of 2012. It is appropriate to examine the definition of worker or workman under the Act of 2012, section 2(xxxiii) thereof reads as,

“worker” and “workman” mean person not falling within the definition of employer, who is employed (including employment as a supervisor or as an apprentice) in an establishment or industry for hire or reward either directly or through a contractor whether the terms of employment are express or implied, and, for the purpose of any proceedings under this Act in relation to an industrial dispute includes a person who has been dismissed, discharged, retrenched, laid-off or otherwise removed from employment in connection with or as a consequence of that dispute or whose dismissal, discharge, retrenchment, lay-off, or removal has led to that dispute but does not include any person who is employed mainly in managerial or administrative capacity.”

[Emphasis supplied]

15. Nature of the proceedings identified supra included instance(s) of dismissal, discharge, removal, laying-off and retrenchment, etc. – [scope and extent of subject matter jurisdiction under the Act of 2012 is multi-dimensional but instances of individual grievance are discussed in the context of grievance relating to payment of wages only]. Instances identified conspicuously miss-out the claim of payment of wages, which makes the Act of 1936 relevant, wherein subject matter jurisdiction extends to payment of wages and same is distinguishable from the subject matter jurisdiction, exercisable by the Commission, otherwise.

16. Fallaciousness of argument is further exposed upon practical application thereof. For the sake of discussion, it is assumed that the Commission possessed subject matter jurisdiction for adjudicating claim of payment of wages, when raised against a trans-provincial entity. Then by same analogy, *what is good for the goose is good for the gander*, provincial labour court(s) would assume subject matter jurisdiction for entertaining claim of payment of wages with respect to entity possessing provincial nationality. This stated position and assumption of subject matter jurisdiction by the Commission and provincial labour court(s) extends existential threat to the Act of 1936. There is no cavil that redundancy is attributable to one statute, in comparison to another, where both are so inconsistent and incompatible and not otherwise. Hence, element of redundancy, though not attributed directly but collaterally / covertly implied, has to be discarded by treating subject matter jurisdiction(s), under competing statutes, diverse, distinct and mutually exclusive.

17. There is another conspicuous distinction between the Act of 2012 and the Act of 1936. Diversity manifested and purposive presence of section 3 of the Act of 1936 need a reference, which is reproduced hereunder to explain the context.

“3. Responsibility for payment of wages.— Every employer including a contractor, shall be responsible for the payment to persons employed by him of all wages required to be paid under this Act:

Provided that, in the case of persons employed (otherwise than by a contractor)—

(a) in factories, if a person has been named as the manager of the factory under clause (e) of sub-section (1) of section 9 of the Factories Act, 1934,

(b) in industrial establishments, if there is a person responsible to the employer for the supervision and control of the industrial establishment,

(c) upon railways (otherwise than in factories), if the employer is the railway administration and the railway administration has nominated a person in this behalf for the local area concerned, the person so named, the person so responsible to the employer, or the person so nominated, as the case may be, shall be responsible for such payment.

[Emphasis supplied]

18. Alike of section 3 of the Act of 1936 is not found in the Act of 2012. Objectively and on purpose, the responsibility base with respect to the payment of wages is expanded, which inter alia included claim(s) by *persons employed* not directly by the employer but through the contractor, as well. Argument of petitioners fails on practical plane. This can be explained with a hypothetical illustration. A, a person employed with an entity, C, which employment is arranged through the contractor, B. And there is another employee of C, that is identified as D. Assuming that C is a trans-provincial entity. Assumingly, claim of payment of wages by D would go before the Commission – if argument of the petitioner is appreciated. Conversely, where A sues B [contractor] for payment of wages, and B is operating with the territorial limits of a province, does it imply that claim of D would be tried by the Commission and claim of A is maintainable with the Authority under the Act of 1936. So one set of employers would approach the Commission and other the Authority, under the Act, 1936. This is an absurdity and such absurdity has been catered for legislature by defining distinct subject matter jurisdiction(s) under the Act of 2012 and the Act of 1936. This appears to be the most natural, plausible, objective and purposive reading of the statutes. – to read and interpret element of diversity.

In view of the above, fundamentally and conceptually, subject matter jurisdiction or cause of action jurisdiction of the Authority under the Act of 1936 is exclusive, to the extent of claim of payment of wages, and same is independent and survives irrespective of claimed trans-provincial status.

19. Question answered is that complaint for recovery of payment of wages is maintainable before the Authority under the Act of 1936, irrespective of status of trans-provincial entity(ies).

20. This and connected constitutional petitions are dismissed being devoid of merits on the question of jurisdiction / law.

(ASIM HAFEEZ)
JUDGE

Announced in open Court on this 12th day of March, 2026.

JUDGE

Approved for reporting.

JUDGE

*Imran/**